# Work During and After the Pandemic

*by Sophia*

WHAT'S COVERED

In this lesson, you will learn about the lasting effects on global business following the 2020 pandemic. Specifically, this lesson will cover:

## 1. Industries Permanently Changed

In the previous tutorial, we described shared experiences that shape generational attitudes. One experience shared by all workers in 2020 was the COVID-19 pandemic, which radically affected every industry and continues to do so. While Americans may consider the pandemic lower in historical importance than events like the terrorist attacks of 2001, the truth is that no event has been more disruptive to more people's lives in decades.

Which changes are permanent and which are temporary remain to be seen, but at least some have had a lasting impact. For example, the effect on the restaurant industry was perhaps the worst to any industry, causing many restaurants to permanently close due to lost business. On the other hand, there was a surge in the use of delivery services like DoorDash, which have leveled off well above their 2019 usage. People have developed new habits in takeout and delivery over in-person dining that seem to be permanent. The movie industry was similarly affected. When movies were made available on streaming services simultaneously or shortly after the theatrical release, it was discovered that many people preferred to watch new movies at home instead of going to the theater. It is hard to imagine that either restaurants or movie theaters will return to pre-pandemic business models. As noted in a mid-pandemic article in the *Harvard Business Review*, the biggest changes in the economy were people working at home, eating at home, and choosing entertainment at home. These led to correlating decreases in direct industries like commercial real estate, restaurants, and live entertainment, and parallel industries like hotels and mass transit. Another trend that was already underway but accelerated by the pandemic is e-shopping (Jacobides & Reeves, 2020).

As discussed in the tutorial on remote work, the pandemic led to a great shift to remote work among office workers that seems to be permanent. As of 2023, one-third of workers work remotely at least some of the time, and between 10% and 20% are permanently remote. But when we look only at office jobs, the numbers are even more dramatic. Some company buildings have been largely unoccupied for three years as of 2023, at most having occasional "work in person" days to sustain company culture. This has left businesses with expensive leases, office furnishings, and equipment they can't use.

Pieced together, you can see a massive change in the culture of work from being centered in downtown metropolitan areas to small hub offices and distributed workforces. The stereotypes of workers in suits and ties taking a train to the office may never come back. Indeed, business culture itself may never be the same.

# 2. Health Mandates

Among the ethical challenges of the pandemic, the earliest was the attempt to quickly adapt to the public health crisis. In the early days of the pandemic, businesses tried to continue business as usual with mask mandates, stringent hygiene policies, and other superficial changes, but by the third week of March 2020, most businesses that could do so had shut their doors and switched to remote work. Other businesses had to close temporarily while they tried to find a way to do business, such as curbside pickup for retail stores.

Meanwhile, essential services like grocery stores and drug stores had surges of customers, many of whom refused to comply with store or local government regulations, like mask mandates. In addition to serving in-person customers, stores had to provide new or expanded services to customers who were taking more precautions, such as curbside delivery. Many stores had special hours for vulnerable customers, such as older customers and those with suppressed immune systems. Like with mask mandates, this also meant conflict with customers who didn’t want to adhere to the new rules.

**THINK ABOUT IT**

Should a store serve customers who refuse to wear a mask or meet other safety requirements during a pandemic?

Companies faced another major ethical challenge in 2021 when vaccines became available. As with masks, there were people who resisted the vaccines and vaccine mandates. Some corporations tried to institute vaccine mandates with an option of frequent testing for those who did not receive the vaccines, but even the obligation to disclose whether one had received the vaccine was a matter of public debate. Some incorrectly argued that it was in violation of HIPAA (the Health Insurance Portability and Accountability Act, which does have regulations protecting patient privacy, but usually only applies to healthcare providers). The bigger question remained as to whether companies or schools had a right to mandate vaccines, and whether people had the right to privacy regarding their vaccination status. Though many organizations had vaccine requirements previous to COVID-19, the rising anti-vaccination movement joined forces with anti-government sentiment.

Even the healthcare industry had some holdouts. While nurses and other healthcare workers were particularly vulnerable to exposure to COVID-19, representing one of the professions with the highest mortality rate, and were also more likely to spread it to vulnerable populations, some resisted vaccine mandates (Gardner, 2022). Though all professional organizations supported the vaccines and vaccine mandates, some individuals left their jobs. Because there was already a shortage of healthcare workers and the pandemic had strained the existing resources, these departures hurt. “While overall the number of healthcare workers [quitting] is not huge, … we cannot afford to lose anybody,” an epidemiologist at Harvard Medical School said.

THINK ABOUT IT

Does it make sense to require people who are both susceptible to exposure and likely to spread the virus to vulnerable people to get vaccinated, even if they prefer not to? Would you mandate vaccines even if there was already a shortage of qualified healthcare workers?

As of 2023, most establishments have lifted any mask requirements for patients or customers, including hospital settings (outside of the normal use of medical masks by professionals). However, the pandemic raised unanswered questions about where public health and personal freedom collide, both for customers and for workers.

On the positive side, some permanent changes to awareness of epidemiology (the study of disease) and advances in medicine during the pandemic may boost health permanently. People who worked at home during the pandemic and wore masks when they left frequently boast of two years without even catching a cold, and resolved to make those lifestyle changes permanent. People who are experiencing illness are now more likely to stay at home or take precautions when they leave. And perhaps most importantly, the development of the mRNA-based vaccines for COVID-19 was a leap forward that can lead to vaccines for other persistent illnesses like RSV (Respiratory Syncytial Virus) and even the common cold. These developments, along with an overall decrease in face-to-face work, can mean people will feel better more of the time, leading to more productivity and personal happiness.

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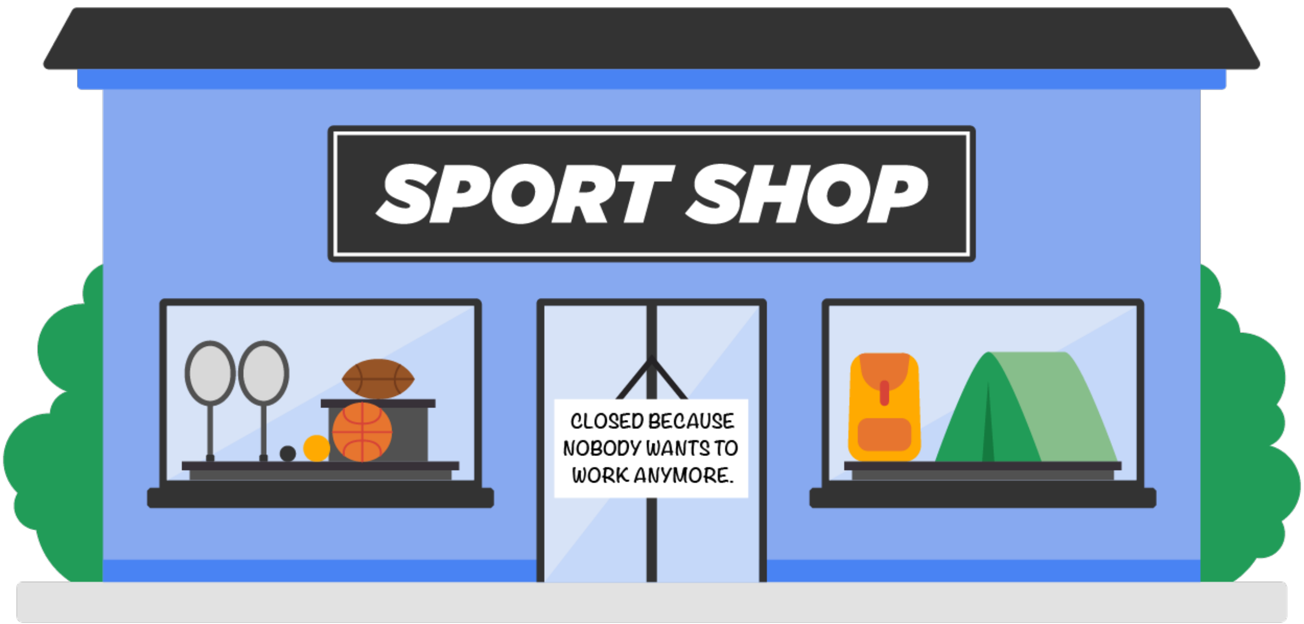
# 3. Post-Pandemic Labor Shortage




The pandemic still isn't over in 2023, with thousands of people dying weekly and vaccinations lapsing, many foregoing the boosters necessary to stay protected against new variants of the virus. However, by mid-2021 things began to return to normal, or at least a new normal. Schools reopened, and restaurants that had been closed to dine-in customers welcomed them back. But just as the economy started to bounce back, millions of people quit their jobs, in what became known as "The Great Resignation."

Perhaps unsurprisingly, the biggest shortage came in the jobs where people had faced the greatest brunt of the pandemic itself: low-paying, high-contact jobs like fast-food service and clerking at grocery stores. Two other professions that saw a sudden dip were teachers and nurses, two areas that had already been in decline anyway. Nurses, of course, faced high risk and a hectic pace during the pandemic. Teachers had faced a sudden change in practice, trying to quickly learn technologies, and still faced the accusations that they were doing nothing. The biggest reason people quit their jobs was simply a lack of job satisfaction, due to poor pay and feeling unappreciated. Knowing that the pandemic wasn't over and that these jobs had a high risk of exposure weighed on some people's minds. Was a low-paying and unrewarding job worth dying for? For workers who had experienced unemployment, the time off may have been embraced as an opportunity to learn new skills and prepare for a more rewarding career, which would be derailed by returning to their old job. Simply put, the pandemic made a lot of people take stock of their lives and what they wanted to do. Of course, this was easier to do as unemployment payments and additional stipends were easily available during the pandemic.

Stephanie Ferguson at the U.S. Chamber of Commerce (a business advocacy group) pointed out that "The Great Resignation" was really a "Great Reshuffle," as people were being hired as quickly as they quit (2023). In fact, if workers were simply getting jobs with better pay, more flexibility, or other benefits, the competition for recruiting staff put pressure on employers to raise wages or otherwise show more appreciation for their workers, reversing the decades-long trend of wage stagnation and a widening income gap.

But some industries definitely had a labor shortage and struggled to keep business hours. This led to some retaliations from employers, who complained that "nobody wanted to work anymore," playing on already prevalent stereotypes about younger workers being lazy and disloyal. In some industries, such as fast-food and grocery stores, this may also accelerate changes to automation.

LEARN MORE

Was "The Great Resignation" real? In a series of tweets, researcher Paul Fairie showed that similar claims had been made by employers for over a hundred years.
twitter.com/paulisci/status/1549527748950892544

# 4. A Lost Year for Generation Z

The generation of workers entering the workforce just before, during, and soon after the pandemic will perhaps feel the longest negative effects on their career. Already saddled with student loans, the youngest workers were the first to be laid off in industries hit by the pandemic. Others graduated from college during the pandemic and were unable to find work. They are generally not counted in "The Great Resignation" because they did not have jobs to quit. At the younger end of the generation, students had to settle for a virtual year of high school, missing a conventional graduation ceremony, let alone a senior prom and the other social norms of high school. Others had a "gap year" in college without the usual benefits of a gap year like traveling or working and saving money. Aspiring athletes lost a crucial year of development and exposure. The Center for Generational Kinetics determined that Generation Z (born between 1997 and 2012) was the generation most affected by the pandemic, and that it would easily be the defining event of their lives (GenHQ.com, 2020).

At the end of the pandemic, Generation Z faced a lot of uncertainty as they returned to their education or careers, with daunting prospects for long-term happiness. Yet this is the fastest growing demographic in the workforce, and the unique attitudes and expectations informed by the pandemic will affect their approach to work and ripple upward through organizations. The nature of those long-term effects will depend on how well business and government help this generation recover from the emotional and professional impact of the pandemic.

# 5. Ethical Questions Raised by the Pandemic

The pandemic led to a lot of bitter debates that have still not been resolved and are likely to continue. Consider the roles of different businesses and the tough decisions they had to make:

- As an apartment manager, would you evict tenants for nonpayment of rent who were unable to work during the pandemic? What about people who were actually sick? If you answer no, how do you manage the bills you yourself have to pay?
- If your business was hard hit by a pandemic or other emergency, would you appeal to the government for a "bailout"? What would the long-term consequences be?
- If your business was difficult or impossible to conduct while observing recommended masking and social distancing, would you defy the recommendations or risk losing the business?
- If you rely on part-time, unskilled workers, and do not have the budget for high wages or benefits, how would you tempt them to return to work after several months of subsidies?
- If you are an executive of a social media company, what rules would you have about spreading misinformation about a pandemic, vaccines, or unproven remedies? How about speculation on the origins of the disease that takes on a racist overtone? Would you give free rein to unfettered comments, flag suspicious content, or outright disallow untrue or unsubstantiated information?
- If you are in charge of a school (for any age level), and the decision to continue meeting in person or go to distance learning is up to you, how would you weigh the safety of your students, teachers, staff, and their families with the quality of education and socialization students need to succeed?

None of these have clear-cut answers, but basing decisions on ethical foundations like consequentialism or moral duty will both help you come to a decision and defend the decision to people who disagree with it.

THINK ABOUT IT

What other ethical questions were raised for businesses by the pandemic and not yet resolved?

## SUMMARY

In this lesson, you learned how the COVID-19 pandemic has had significant and lasting effects on global business. Many **industries have been permanently changed**, with remote work becoming the norm for many companies. **Health mandates** have also become a key consideration for businesses, with safety measures such as masks and social distancing now commonplace. The pandemic also resulted in a **post-pandemic labor shortage**, with many workers leaving their jobs or seeking more flexible employment arrangements. Additionally, the pandemic has resulted in **a lost year for Generation Z**, with many young people missing out on important milestones; at the older end of the age range, entering the workforce or completing college was delayed, and at the younger end, the effects of a lost year of normal schooling and socialization is still being witnessed. The pandemic **raised many ethical questions**, most of which are still being argued.



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